numbers for GDP growth, to focusing on the state of health of state institutions.

In the short run, central planning and state-led development can yield GDP growth. But as the economy becomes more complex, the need for state institutions that reshape incentives becomes even greater. Spurts in growth that are state-led tend to peter out. The only way to run the fifty-year marathon is through building institutions. We should pursue institution building rather than GDP growth. Sustained improvement in institutional quality is hard, but it is the only way to obtain sustained GDP growth.

Success is not assured

The early rhetoric about economic development viewed an underdeveloped country as a child. Growth was inevitable, it was only a matter of putting in a few auxiliary actions that helped and enabled that process. In this worldview, we run the risk of thinking that progress is inevitable, that progress involves steel mills, and we can save everyone the time and trouble by having state-run steel mills.

We now know that there is no inevitability about the rise of a country into the ranks of a prosperous democracy. There are only four countries which were poor in 1945, that are now prosperous democracies: South Korea, Taiwan, Chile and Israel.

A prominent measure of state capability in a globally comparable data set is available, for the 1996–2012 period. [1] By this measure, state capability has risen in only a few countries over this period, and state capability in India *declined* in this period. Our institutional capacity got worse in a period of strong GDP growth. We do wrong in equating GDP growth with improvement in the foundations for GDP growth. [2]

Turning to the Indian experience, we can conjecture a mechanism through which higher GDP growth *caused* reduced state capacity. When bigger rupee values are at stake, private persons have more to gain by